



United States
Attorney's Office
Western District of Kentucky



Medical Equipment Business Owner Sentenced to Federal Prison and Ordered to Pay Over \$6 Million in Restitution for a Conspiracy to Commit Health Care Fraud

Tuesday, May 27, 2025

For Immediate Release

U.S. Attorney's Office, Western District of
Kentucky

Louisville, KY – A former Kentucky resident was sentenced last week to 2 years and 9 months in federal prison for engaging in a conspiracy to commit health care fraud in connection with durable medical equipment businesses.

U.S. Attorney Michael A. Bennett of the Western District of Kentucky and Special Agent in Charge Kelly J. Blackmon of the Department of Health and Human Services, Office of Inspector General (HHS-OIG), made the announcement.

According to court documents, Pedro Reyes, 54, formerly of Elizabethtown, Kentucky, was sentenced to 2 years and 9 months in prison, followed by 2 years of supervised release, for one count of conspiracy to commit health care fraud. Reyes, through multiple Kentucky companies, executed a scheme in which he fraudulently billed Medicare for durable medical equipment (orthopedic equipment, to including back, knee, and shoulder braces) that was medically unnecessary, unwanted by patients, and not prescribed by the patients' medical providers.

"I commend the tenacious work of the HHS-OIG and the prosecution team in this matter," said U.S. Attorney Bennett. "Let this case serve as notice to those who plan to cheat the system. You will be identified, aggressively prosecuted, spend time in federal prison, and, in the end, pay back your ill-gotten gains."

"The defendant's exploitation of the Medicare program and its enrollees for unlawful financial gain constitutes a serious breach of trust and a misappropriation of resources for the public," said Special

Agent in Charge Blackmon. "HHS-OIG is unwavering in our commitment to safeguarding the integrity of the Medicare and other federal healthcare programs."

There is no parole in the federal system.

Reyes was also ordered to pay restitution in the amount of \$6,004,916.

This case was investigated by HHS-OIG.

Assistant U.S. Attorney Christopher Tieke prosecuted the case, with assistance from healthcare fraud investigator Bob Masterson.

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